

Executive Summary

Model Answer



Discounts may not be the best strategy to reduce churn

Given that customers are not overly price sensitive, more customer outreach is needed to determine the best retention strategies.



Churn is high in the SME division

Nearly 10% churn rate across approximately 15k customers.



Factors influencing likelihood to churn can be measured and predicted

A sensitivity analysis was conducted to analyze the impact of price on churn.



Price sensitivity is not the primary driver

Net and gross margin on electricity and consumption are the largest drivers of churn over the past 12 months.